more jobs. This leads to a virtuous cycle – as more employment is created, more people have jobs and money to spend, thus boosting consumer demand. They also have more money to save, thus boosting investments and capital formation further.[22]

It is important to note that for capital formation to actually take place, three distinct though interdependent activities must precede it. The first is actual savings by individuals and households who must be willing to reduce current consumption and set aside money for saving. The second is the activity of finance and of financial intermediaries, through which savings (such as bank deposits, investments in bonds, equities, mutual funds, etc.) are made available to those engaged in the production of capital goods. The third is investment, whereby the savings made available through banks and financial intermediaries are actually put to use productively. Capital formation in any economy depends both on the intensity and efficiency with which these three activities are carried out.

Generally speaking, a higher level of savings leads to a higher level of investment and capital formation, which in turn leads to higher economic growth, national income and GDP. Several economists believe that the rate of capital formation should be above 40 per cent to achieve an 'optimum rate of economic growth'.

The correlation between Savings, Investment, Capital Formation and Growth has been very evident in India. As noted in the Economic Survey 2018:[23]

> India's climb to about 10 per cent real GDP growth (in the 2000s) was accompanied by an unprecedented nine percentage point pick-up in domestic saving and investment rates. Specifically:
>
> - The ratio of gross fixed capital formation to GDP climbed from 26.5 per cent in 2003, reached a peak of 35.6 per cent in 2007, and then slid back to 26.4 per cent in 2017.
> - The ratio of domestic saving to GDP has registered a similar evolution, rising from 29.2 per cent in 2003 to a peak of 38.3 per